

In August 2007, quant funds didn't live up to their promise of low volatility, steady returns, or *absolute returns*—the words they used in their marketing pitches. What kind of common factors are HFs exposed to? And does their performance justify their fees?

2. Industry Characteristics

HFs are investment vehicles for rich people.¹¹ HFs are defined by what they are not—HFs are exempt from the Investment Company Act of 1940 and subsequent amendments and rules (or 40-Act for short; see chapter 15). The 40-Act gives strict rules on what forms 40-Act funds can take and what they can do.¹² Giving up the investor protections of the 40-Act allows HFs wide latitude in how they invest, how they pay their managers, how they disclose information, and even how (or if) investors can get their money back. Rich people don't need 40-Act protection because they can (and should) hire lawyers, accountants, financial advisors, and other professionals.

2.1. HISTORY

The first HF was created in 1949 by Alfred Winslow Jones, who had an unlikely background for a man who was to become the trailblazer of an industry now handling trillions of dollars. Before forming his “hedged fund,” Jones worked as a U.S. diplomat in Germany when Nazism was on the rise, earned a PhD in sociology at my own institution, Columbia University, and for a while was a journalist at *Fortune* magazine (which published a version of his dissertation).

Jones's fund had three special features:

1. It was secretive.

Jones went to great lengths to protect his investments from prying competitors and did not share much detail on what his funds were doing, even with clients.

2. It featured a management incentive fee.

In fact Jones charged an incentive fee of 20% but no regular management fee, a practice modern HFs might do well to emulate (see below). At the time, managers typically charged flat fees. Jones adopted a nonlinear performance fee not because he thought it a good way to align his incentives with his clients' goals (he had not studied principal-agent theory, see chapter 15) but

¹¹ Good summaries of HFs are Stulz (2007) and Lo (2010). Do not be put off by its title: *Hedge Funds for Dummies* written by Logue (2007) is not just for dummies.

¹² While they are exempt from the 40-Act, HFs must comply with other laws and regulations, like the 1933 Securities Act and general fraud statutes. Commodity trading advisors and commodity pool operators are similar to HFs in that they have large exposure to dynamic factors: They trade futures, swaps, or options on futures or swaps and are registered with the Commodity Futures Trading Commission.